



Your 2 Cents PDX Policy Fact Sheet

This document answers some key questions associated with the [Y2CP charter amendment](#) and details the rationale for its key provisions. See these [extended Y2CP FAQs](#) for more information on [participatory budgeting](#) and the campaign.

Why is participatory budgeting?

[Participatory budgeting](#) (PB) is a democratic process where residents of a municipality deliberate and directly decide how to spend a portion of a public budget. PB gives ordinary people real power over real public money. The process varies in implementation, but once funds are committed, the PB usually includes at least five basic steps:

- 1) A representative steering committee designs the process rules.
- 2) Residents gather in assemblies or online to dream up and share ideas for potential projects.
- 3) Residents and public officials refine ideas into feasible projects or programs the municipality can implement.
- 4) The residents vote to select projects to implement.
- 5) The city implements winning projects.



The highest impact PB processes are evaluated, improved, and repeated to expand the depth and breadth participation of a larger portion of the residents over time. Practiced by well over 7000 municipalities worldwide and dozens across the United States, PB simply gives people a voice and a vote over a portion of the public budgets that impact their lives.

Why Put PB in the Charter?

If passed by voters, the [Your 2 Cents PDX charter amendment](#) would require the City Council to establish, by ordinance, an annual or biannual participatory budgeting process open and accessible to all residents. The policy is a charter amendment because [participatory budgeting](#) (PB) redistributes power rather than prescribes outcomes. Because elected officials have a conflict of interest regarding if and how much budgeting power is redistributed to residents through PB, it is appropriate that PB be in the City Charter and that voters adopt the policy. PB implemented by solely by the will of elected officials through legislation limited by short-term political influence and austerity politics; it is often low impact and does not last. That is a major reason why the voters in New York City and Boston adopted PB charter amendments in 2018 and 2021, respectively. It is also why the 2022 Portland Charter Commission sent an earlier version of the Your 2 Cents PDX policy [to the City Council in 2023](#). The City Council's inaction in sending it on to the voters was the genesis of the Your 2 Cents PDX campaign.

What is the Your 2 Cents PDX Policy

The [Your 2 Cents PDX Charter amendment](#) provides a Citywide mandate to implement PB in Portland open and accessible to all residents. It does prescribe the specific details. The City Council will have the authority and the flexibility to determine important details within those parameters. However, the Charter amendment does provide key parameters/provisions based on research, best practices and lessons learned from PB implementation elsewhere to set the City up for success in terms of maximizing equitable participation and outcomes. Those key parameters/provisions and their rationale are detailed below.

Charter Language or Summary	Rationale
<i>"To further public engagement and democratic involvement in City spending, the City must create by ordinance a Participatory Budgeting Program with an annual or</i>	PB should be a "right of the City," open and accessible to all residents impacted by City budget decisions. This includes the roughly 150,000 Portlanders who cannot vote in elections. The amendment provides the City flexibility to

<i>bi-annual participatory budgeting (PB) process open to all residents, consistent with the Oregon Local Budget Law.</i>	implement an annual and biannual process. This could allow the City to implement the process in Districts 1 & 2 on even years and 3 & 4 on odd years.
Mandates the PB program be funded by <i>“the equivalent of at least 2% of the General Fund Discretionary Resources</i> to be allocated through the PB process (~\$16 million starting in FY27-28). Program funding shall cover staffing and initial and ongoing PB process implementation and evaluation. “ Authorizes the City Council <i>“to identify funding sources from the entire City budget to meet that obligation.”</i>	This provision ensures PB in Portland will allocate enough funds to meaningfully engage enough people, grow participation over time, and establish PB as a new way of governing in Portland. It does not actually require any funding from the General Fund, it just uses the General Fund to establish an equivalent minimum amount that will grow roughly with population. This ensures that PB will be large enough in Portland that it will be meaningful while giving the City Council flexibility in identifying funds to implement winning projects. Most PB in the United States has started and stayed small because of the small amounts of public funds allocated. In contrast, charter mandated PB in Paris requires the City to allocate 5% of capital funding (100 million euros per year) through PB and participation has grown to 10% of the City’s population. The minimum amount prescribed by Your 2 Cents PDX exceeds the minimum best practice of at least \$1 million per 100,000 residents Citywide while allowing for greater amounts to be allocated to less affluent Districts 1 & 2 where residents face greater barriers to civic participation.
<i>“All residents of the City are invited and encouraged to submit project ideas on how to spend available funds through public meetings and other forums that are open and accessible to all residents.”</i>	The first public-facing phase of PB involves collecting ideas for public investments that address community needs. PB Idea assemblies are an essential phase of the PB process across the globe. Incorporating both in-person and virtual idea generation is a recognized PB best practice.
A transparent process wherein City staff and residents, represented by budget delegates, review, assess, and refine project ideas into a limited number of PB qualified projects that can be feasibly implemented by City government.	This too is a critical step of the PB process practiced around the world that integrates local knowledge and lived experience of residents with technical knowledge of staff to develop <i>“a limited number of PB qualified projects that can be feasibly implemented by City government.”</i> To maximize this integration, the policy mandates a <i>“transparent process”</i> that includes <i>“City staff and residents,</i>

PB qualified projects can be specific to a city council district or apply city wide.	<i>represented by budget delegates.” To allow for neighborhood-focused investments, PB projects could be developed for specific City Districts or City wide to support new innovative or existing and popular projects or programs.</i>
<i>“The PB qualified projects are placed on a ballot and subject to a binding selection process open and accessible to all residents.”</i>	The PB vote on proposed projects is essential to process wherein residents exercise budgeting power. To ensure it is open to all residents the policy explicitly states that the project selection process is “<i>distinct from and not subject to city or state laws governing elections and voting.</i>”
<i>“Funding allocation decisions made by city residents through the PB process defined in this Section shall be binding on the City.”</i>	PB is about residents exercising power so the decisions must be binding.
<i>“The winning PB projects are implemented by City government or its agents...” the PB program can include a limited process for potentially amending winning PB projects after the vote, but only to ensure the feasibility and the intent of residents.</i>	If anything renders a winning project infeasible after the vote, the policy mandates minimal staff discretion in project revision and requires consultation with the PB Oversight Committee.
PB Oversight Committee with representatives from every City Council District provides oversight and guidance to City staff for process design, implementation, and evaluation.	The PB Oversight Committee represents Portlanders in process design and supports community outreach and process evaluation. Importantly the Oversight Committee DOES NOT decide how funds are spent; that power lies with all Portlanders.. The Committee must have representation from all four Council Districts but can include representatives from other communities of interest or identity. At the outset of each PB cycle, the Oversight Committee will also help craft the PB Rule Book to provide clear process rules (see this example Rule Book from Boston).
<i>“The PB Program funding shall begin no later than the 2027-2028 fiscal year and the first PB Process</i>	The policy ensures the funding will be available for program development and launch and PB process implementation before the deadline for implementing the first cycle of July 2028. This gives the City 18 months to launch the program and first

<i>shall begin no later than July 2028.”</i>	cycle. Given the City staff just restructured the entire City government in the same amount of time they can implement one program in the same amount of time.
Program evaluation and improvement, with a focus on maximizing participation of all residents in all phases of the process.	Program and PB process cycle evaluation is an important PB best practice to maximize equitable participation , an evaluation goal explicitly mentioned in the charter amendment.
Periodic program audit by the City Auditor	A periodic programmatic audit by the City Auditor provides additional accountability for program implementation.

City Council Discretion

Beyond these required elements, the City Council will have flexibility in crafting the implementing the ordinance. City Council will determine how the PB Oversight Committee and budget delegates are selected, whether the City will implement an annual or biannual process, and how much of available funding will be allocated within each City District. The City Council might also set broad goals or approve the PB Rule Book for a given PB Cycle. The City Administrator will have the critical job of hiring PB program staff. In shaping the program, Portland’s leaders will be able to apply many of the best practices from high impact PB learned from four decades of PB implementation across over 7000 municipalities including tens of thousands of PB cycles across the world.

PB Process Implementation: Who Does What and When

The following table outlines the roles and potential timeline for implementation of Your 2 Cents PDX and some key questions at each stage.

<u>Who</u>	<u>When</u>	<u>What</u>
Voters	November 2026	Your 2 Cents PDX Charter Amendment
City Council	2027?	Implementing Ordinance - Which Bureau or Department will house the program? - Annual or bi-annual cycles?

		- How much money is allocated per cycle? - How much money is allocated per District? - Select Oversight Committee - Determine goals of a given cycle. - Determine restricted funds, if any, might fund projects after the selection phase. - Maybe approve the process rule book. - Receive evaluation & recommendations for process improvement.
City Administrator	2027 & Ongoing	- Hire and manage program staff - Receive evaluation & recommendations for process improvement.
Oversight Committee	2028 & Ongoing	- Advise and provide oversight to staff in process design. - Co-draft Process Rules Book with Staff - Advise and provide oversight to the City Administer & staff in process evaluation.
Program Staff	2027 & Ongoing	Implement PB Process Cycles - Staff Oversight Committee - Implement Idea Collection - Oversee Budget Delegate Selection - Coordinate Project Development with Bureau staff - Administer PB Vote - Implement Program & Process Evaluations - Advise staff on projects that become infeasible and need to be modified.
All Residents Possible & More Overtime	By 2028 & Ongoing	- Potentially Serve Oversight Committee - Participate in Project Ideation - Potentially Serve as Budget Delegates - Vote on Projects - Potentially participate in project implementation.
Auditor	Periodically	- Audit Program